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While these signals can identify potential reversal points, they can also be misleading during strong trends when indicators can remain in extreme territory for extended periods. Sophisticated algorithmic traders often combine these signals with trend analysis to avoid fighting strong trends.

Combining Indicators for Robust Strategies

While individual indicators provide valuable information, the most robust trading strategies combine multiple indicators to confirm signals and reduce false positives.

```
1. def combined_signal(data):
2.     """
3.     Generate a combined signal based on multiple indicators
4.     Returns 1 (buy), -1 (sell), or 0 (neutral)
5.     """
6.     # Initialize with neutral signal
7.     signal = 0
8.
9.     # Trend indicator: Moving Average Crossover
10.    trend = 1 if data['SMA20'] > data['SMA50'] else -1
11.
12.    # Momentum indicator: RSI
13.    momentum = 0
14.    if data['RSI14'] < 30:
15.        momentum = 1 # Oversold, potential buy
16.    elif data['RSI14'] > 70:
17.        momentum = -1 # Overbought, potential sell
18.
19.    # Volatility indicator: Bollinger Bands
20.    volatility = 0
21.    if data['Close'] < data['BB_Lower']:
22.        volatility = 1 # Below lower band, potential buy
23.    elif data['Close'] > data['BB_Upper']:
24.        volatility = -1 # Above upper band, potential sell
```